SYSTEM ANNOTATED REFERENCE CONTRACT 02: EXCLUSIVE MASTER RECORDING AGREEMENT

> SYSTEM METADATA & EVALUATION HEADER
> - Document ID: SYS-ANNOT-02
> - Contract Type: recording (Exclusive Master Sound Recording Agreement)
> - Jurisdiction: KE (Republic of Kenya)
> - Counterparties: Nyota Records & Entertainment East Africa Limited ("Company") and Amina Wanjiru p/k/a "Mina W." ("Artist")
> - Primary Reference Standards Cited:
> - KECOBO-REC-STD-01: Kenya Copyright Board (KECOBO) Advisory Copyright Contract Manual · Exclusive Recording Agreement Standard (CC BY 4.0 / Statutory Guidance)
> - KE-CAP130-SEC22-33: Kenya Copyright Act, Cap. 130 (Sections 22, 28, 32 & 33 · Sound Recording Rights, Moral Rights, and Reversion/Licensing)
> - WIPO-REC-STD-02: WIPO How to Make a Living from Music · Fair Recording & Royalty Accounting Standard (CC BY 4.0)
> - Overall Risk Profile: Heavily Label-Favouring / Exploitative Recording Deal (Illustrates how to evaluate Album-Cycle Option Periods, Perpetual Master Assignment vs. Reversion, Net Receipts with Packaging/Free-Goods Deductions, 100% Artist-Share Recoupment + Cross-Collateralization, Controlled Composition 75% Rate Caps, and Cross-Clause Accounting Suspension Overrides.)

PREAMBLE AND RECITALS

THIS EXCLUSIVE MASTER RECORDING AGREEMENT (this "Agreement") is made on the 3rd day of December, 2026 (the "Effective Date") between NYOTA RECORDS & ENTERTAINMENT EAST AFRICA LIMITED, of Victoria Plaza, Parklands Road, P.O. Box 41209-00100, Nairobi, Kenya (the "Company"), and AMINA WANJIRU, professionally known as "Mina W.", of P.O. Box 88210-00200, Nairobi, Kenya (the "Artist").

WHEREAS, the Company is in the business of producing, manufacturing, and digitally exploiting sound recordings in Kenya and worldwide; and

WHEREAS, the Company wishes to engage the Artist as an exclusive recording artist on the terms set forth herein.

CLAUSE 1: EXCLUSIVE TERM AND ALBUM-CYCLE OPTIONS

1.1 Initial Period and Three Unilateral Album Options. The Artist engages to render exclusive recording services to the Company throughout the Universe for an Initial Contract Period commencing on the Effective Date and continuing until 12 months after the commercial release by the Company of one (1) complete ten-track (10-track) Album, plus three (3) consecutive unilateral Option Periods of one (1) Album each (four (4) Albums in total), exercisable at the Company's sole discretion. No Contract Period shall expire until 12 months after the Company releases the Album for that Period, and the Company shall be under no obligation to release any Album within a fixed calendar date.

> [EXPERT LEGAL & MBIU SYSTEM ANNOTATION · CLAUSE 1.1]
> - Clause ID: 1.1 | Topic: term_duration | Affects: time
> - Drafted For: label | Comparison Outcome: worse_for_you | Mbiu Label: worth_asking_about | Implication: major
> - Reference Standard Benchmark (KECOBO-REC-STD-01): "The Initial Period shall be for a fixed duration of 12 months (capped at 18 months maximum), with at most one (1) mutually agreed Option Period of 12 months, and if the Company fails to commercially release the delivered Album within 6 months of delivery, the Artist may terminate the Term."
> - Legal Expert Analysis:
> 1. Open-Ended "Delivery + Release" Term Trap: Because each Contract Period runs until 12 months after commercial release AND the Company explicitly disclaims any obligation to release an Album by a fixed date, the Company can "shelf" an Album and freeze the Artist's career indefinitely across 4 Albums (1 Initial + 3 Options).
> 2. Absence of a Release Commitment ("Stop-Clock"): Standard KECOBO and WIPO templates always pair delivery commitments with a mandatory 6 months release deadline and an 18 months calendar cap.
> - Mbiu Verified Card Fields:
> - headline: "4-album lock-in with no release deadline"
> - key_quote: "No Contract Period shall expire until 12 months after the Company releases the Album for that Period, and the Company shall be under no obligation to release any Album"

- what_it_says: "You are tied to the Company for 1 Initial Album plus 3 Option Albums (4 Albums total). Each period only ends 12 months after the Company chooses to release the Album."
- what_it_means: "Because the Company has no deadline to release your Album, your contract term could stretch on for many years while you are blocked from recording for anyone else."
- comparison_note: "Standard KECOBO recording terms set a fixed 12 months Initial Period (capped at 18 months) with at most 1 option and a 6 months release deadline, whereas your deal has 3 options."
- fairer_wording: "The Initial Period shall be for a fixed duration of 12 months (capped at 18 months maximum), with at most one (1) mutually agreed Option Period of 12 months, and if the Company fails to commercially release the delivered Album within 6 months of delivery, the Artist may terminate the Term."
- ask_them: ["Can we cap each Period at 18 months max and let me end the deal if an Album is not out within 6 months?"]

CLAUSE 2: PERPETUAL ASSIGNMENT OF MASTER RIGHTS AND MORAL RIGHTS WAIVER

2.1 Work Made for Hire and Perpetual Assignment. All Master Sound Recordings recorded by the Artist during the Term shall be a "Work Made for Hire" for the Company. The Artist hereby irrevocably assigns to the Company in perpetuity throughout the Universe one hundred percent (100%) of all copyright and producer rights in the Masters under Sections 22, 28, and 33 of the Copyright Act (Cap. 130, Laws of Kenya), with no right of reversion to the Artist at any time, and irrevocably waives all Moral Rights under Section 32 of the Copyright Act (Cap. 130).

[EXPERT LEGAL & MBIU SYSTEM ANNOTATION · CLAUSE 2.1]

- Clause ID: 2.1 | Topic: grant_of_rights | Affects: ownership
- Drafted For: label | Comparison Outcome: worse_for_you | Mbiu Label: worth_asking_about | Implication: major
- Reference Standard Benchmark (KECOBO-REC-STD-01 & WIPO-REC-STD-02): "The Artist grants the Company an exclusive license to exploit the Master Sound Recordings for a fixed license period of 7 years from release, or until 5 years after full recoupment of recording costs, whereupon all master rights shall revert to the Artist, and the Artist's moral rights under Section 32 of the Copyright Act (Cap. 130) are preserved."
- Legal Expert Analysis:

1. Permanent Loss of Catalogue (in perpetuity + No Reversion): Under Section 33 of the Kenya Copyright Act (Cap. 130), a written assignment transfers economic ownership permanently unless a reversion clause or license period is specified. Even after the Company recoups every shilling of its recording costs, the Company owns the Artist's Masters forever.

- Mbiu Verified Card Fields:
- headline: "Company owns your masters forever"
- key_quote: "irrevocably assigns to the Company in perpetuity throughout the Universe one hundred percent (100%) of all copyright and producer rights in the Masters"
- what_it_says: "You give the Company 100% ownership of all your master rights in perpetuity with no reversion. You also give up your moral rights."
- what_it_means: "You could never get back ownership of your recorded songs, even years after full recoupment of recording costs, and you could not stop changes to your songs."
- comparison_note: "Standard KECOBO and WIPO templates license master rights for 7 years or allow reversion to the artist 5 years after recoupment while keeping Section 32 moral rights intact."
- jargon_definitions: {"in perpetuity": "Forever, with no end date.", "master rights": "Ownership of the actual sound recording of a song.", "reversion": "The return of copyright ownership back to the artist after a set time or after costs are paid back.", "recoupment": "Paying back the label's upfront recording costs from royalties before the artist receives payouts.", "moral rights": "Your rights under Section 32 of the Kenya Copyright Act to be credited as the creator and to object to harmful changes to your work."}
- fairer_wording: "The Artist grants the Company an exclusive license to exploit the Master Sound Recordings for a fixed license period of 7 years from release, or until 5 years after full recoupment of recording costs, whereupon all master rights shall revert to the Artist, and the Artist's moral rights under Section 32 of the Copyright Act (Cap. 130) are preserved."
- ask_them: ["Can we license the masters for 7 years or have master rights revert to me 5 years after recoupment?"]

CLAUSE 3: RECORDING ADVANCE, RECOUPMENT AND CROSS-COLLATERALIZATION

3.1 Recoupable Recording Budget and Cross-Collateralization. For the Initial Period, the Company shall provide an all-inclusive Recording Budget of Kenya Shillings Four Hundred Thousand (KES 400,000). One hundred percent (100%) of all Recording Costs, Music Video production costs, radio promotion, digital ad-spend, and tour support paid by the Company shall be deemed recoupable Advances deducted solely from the Artist's share of royalties, and shall be fully cross-collateralized across all Albums, Option Periods, and mechanical publishing accounts under this Agreement.

> [EXPERT LEGAL & MBIU SYSTEM ANNOTATION · CLAUSE 3.1]
> - Clause ID: 3.1 | Topic: advances_recoupment | Affects: money
> - Drafted For: label | Comparison Outcome: worse_for_you | Mbiu Label: worth_asking_about | Implication: major
> - Reference Standard Benchmark (WIPO-REC-STD-02): "Only 50% of mutually approved music video and marketing expenses shall be recoupable from the Artist's royalties, and no advances or expenses shall be cross-collateralized against the Artist's mechanical royalties or separate agreement accounts."
> - Mbiu Verified Card Fields:
> - headline: "100% of costs recouped from your share"
> - key_quote: "One hundred percent (100%) of all Recording Costs, Music Video production costs, radio promotion, digital ad-spend, and tour support paid by the Company shall be deemed recoupable Advances deducted solely from the Artist's share"
> - what_it_says: "The KES 400,000 budget and 100% of video, ad, and tour costs are recoupable from your share. They are also cross-collateralized across all albums and songs."
> - what_it_means: "You may not receive any payouts until 100% of studio, video, and ad costs across all your albums are paid back through recoupment, including taking your mechanical royalties."
> - comparison_note: "Standard WIPO terms cap video and marketing recoupment at 50% with prior written approval and prohibit cross-collateralized deductions against mechanical royalties."
> - jargon_definitions: {"recoupable": "Money spent by the label that is paid back out of your share of royalties before you receive payouts.", "recoupment": "The process of the label recovering its upfront studio and marketing costs from your royalty share.", "cross-collateralized": "Using earnings from one album or songwriting account to pay off unrecouped costs from a different album.", "mechanical royalties": "Royalties paid to the songwriter whenever a song is reproduced on streams, downloads, or physical copies."}
> - fairer_wording: "Only 50% of mutually approved music video and marketing expenses shall be recoupable from the Artist's royalties, and no advances or expenses shall be cross-collateralized against the Artist's mechanical royalties or separate agreement accounts."
> - ask_them: ["Can we cap video and marketing recoupment at 50% with my consent and remove publishing cross-collateralization?"]

CLAUSE 4: ROYALTY RATES AND NET RECEIPTS DEDUCTIONS

4.1 Royalty Rate and Deductions. Subject to Clause 7.2, the Company shall credit the Artist's royalty account with a base royalty of ten percent (10%) of Net Receipts after deducting: (a) a twenty percent (20%) packaging and digital container charge; (b) a fifteen percent (15%) free goods allowance; and (c) third-party distributor fees. On all digital streaming (including Spotify, Boomplay, Apple Music, and Mdundo) and Safaricom Skiza Tunes, the Artist's royalty rate shall be reduced by fifty percent (50%) to five percent (5%) of Net Receipts, and the Company may hold thirty percent (30%) of royalties as reserves for four (4) semi-annual accounting periods.

> [EXPERT LEGAL & MBIU SYSTEM ANNOTATION · CLAUSE 4.1]
> - Clause ID: 4.1 | Topic: royalties | Affects: money
> - Drafted For: label | Comparison Outcome: worse_for_you | Mbiu Label: worth_asking_about | Implication: major
> - Linked Clauses: ["7.2"] (override: "Subject to Clause 7.2")
> - Reference Standard Benchmark (KECOBO-REC-STD-01 & WIPO-REC-STD-02): "The Company shall pay the Artist a royalty of 50% of Net Receipts on digital streaming and Skiza ringback tones (or 18% of Net Receipts on physical products), with zero packaging or free-goods deductions on digital transmissions."
> - Legal Expert Analysis:
> 1. Artificial Deductions & 50% Digital Rate Cut (Effective 5% of Net): Cutting the 10% rate in half to 5% of Net Receipts for Spotify, Boomplay, Mdundo, and Skiza Tunes·after first subtracting a 20% packaging charge and a 15% free goods allowance·severely reduces the Artist's earnings compared to the 50% of Net Receipts digital standard.
> - Mbiu Verified Card Fields:
> - headline: "5% net digital royalty after 20% & 15% cuts"

- key_quote: "On all digital streaming (including Spotify, Boomplay, Apple Music, and Mdundo) and Safaricom Skiza Tunes, the Artist's royalty rate shall be reduced by fifty percent (50%) to five percent (5%) of Net Receipts"
- what_it_says: "Your base rate is 10% of Net Receipts, cut to 5% of Net Receipts on streaming and Skiza. First, the Company deducts 20% for packaging, 15% free goods, and 30% reserves."
- what_it_means: "Because streaming and Skiza Tunes are cut to 5% of Net Receipts after a 20% packaging charge and 15% free goods cut, you could earn only a tiny share of streaming money."
- comparison_note: "Standard KECOBO/WIPO terms pay 50% of net receipts on digital streams and Skiza Tunes (or 18% of net receipts on physical) with no digital packaging or free-goods cuts, against your 5%."
- money_inputs: {"rate": 5.0, "basis": "net", "deductions": ["twenty percent (20%) packaging and digital container charge", "fifteen percent (15%) free goods allowance", "third-party distributor fees"], "quote": "reduced by fifty percent (50%) to five percent (5%) of Net Receipts"}
- money_comparison: {"contract_basis": "net", "reference_basis": "net", "contract_rate": "5% of Net Receipts (digital) / 10% of Net Receipts (base)", "reference_rate": "50% of Net Receipts (digital) / 18% of Net Receipts (physical)"}
- jargon_definitions: {"net receipts": "The money left over after the company subtracts its listed charges, fees, and deductions from the total money collected."}
- fairer_wording: "The Company shall pay the Artist a royalty of 50% of Net Receipts on digital streaming and Skiza ringback tones (or 18% of Net Receipts on physical products), with zero packaging or free-goods deductions on digital transmissions."
- ask_them: ["Can the digital and Skiza royalty be 50% of Net Receipts with no 20% packaging or 15% free-goods deductions?"]

CLAUSE 5: CONTROLLED COMPOSITIONS (MECHANICAL PUBLISHING CAP)

5.1 75% Mechanical Rate and 10-Track Cap. Any musical composition written or co-written by the Artist ("Controlled Composition") is hereby licensed to the Company at a mechanical royalty rate equal to seventy-five percent (75%) of the minimum statutory rate, capped at a maximum of ten (10) tracks per Album, and the Artist grants the Company a free, perpetual synchronization license to use all Controlled Compositions in Music Videos and Company promotions without fee.

[EXPERT LEGAL & MBIU SYSTEM ANNOTATION · CLAUSE 5.1]
- Clause ID: 5.1 | Topic: royalties | Affects: money
- Drafted For: label | Comparison Outcome: worse_for_you | Mbiu Label: worth_asking_about | Implication: minor
- Reference Standard Benchmark (WIPO-REC-STD-02): "The Company shall pay full 100% statutory mechanical royalties on all musical compositions embodied on every track of an Album without artificial track caps or rate reductions."
- Mbiu Verified Card Fields:
- headline: "Your songwriting mechanicals cut to 75%"
- key_quote: "licensed to the Company at a mechanical royalty rate equal to seventy-five percent (75%) of the minimum statutory rate, capped at a maximum of ten (10) tracks per Album"
- what_it_says: "For songs you write, the label pays 75% of the mechanical royalties rate, capped at 10 tracks per Album. It also gets a free synchronization license for promos."
- what_it_means: "You could earn only 75% of normal mechanical royalties on your own songs, and if you put more than 10 songs on an Album, the extra songs may earn no mechanical royalties."
- comparison_note: "Standard WIPO terms pay 100% of the statutory mechanical rate on every track of an Album, whereas your contract reduces your rate to 75% and caps payment at 10 tracks."
- jargon_definitions: {"mechanical royalties": "Royalties paid to the songwriter whenever a song is reproduced on physical copies, downloads, or streams.", "synchronization license": "Permission to pair a song with visual media such as a music video, advert, or film."}
- fairer_wording: "The Company shall pay full 100% statutory mechanical royalties on all musical compositions embodied on every track of an Album without artificial track caps or rate reductions."
- ask_them: ["Can we remove the 75% cap and 10-track limit so my songs earn 100% mechanical royalties on all tracks?"]

CLAUSE 6: ACCOUNTING SCHEDULE

6.1 Semi-Annual Statements. Subject to the provisions of Clause 7.2, the Company shall prepare semi-annual royalty statements within 90 days (ninety days) after 30th June and 31st December of each year. All statements shall be binding and incontestable unless objected to in writing within 6 months (six months), and the Artist shall have no right to conduct an independent audit of the Company's books.

> [EXPERT LEGAL & MBIU SYSTEM ANNOTATION · CLAUSE 6.1]
> - Clause ID: 6.1 | Topic: accounting_audit | Affects: money
> - Drafted For: label | Comparison Outcome: worse_for_you | Mbiu Label: worth_asking_about | Implication: major
> - Linked Clauses: ["7.2"] (override: "Subject to the provisions of Clause 7.2")
> - Reference Standard Benchmark (KECOBO-REC-STD-01): "The Company shall render semi-annual royalty statements within 60 days after each June 30 and December 31, and the Artist shall have the right once per year upon 30 days written notice to audit the Company's books and records for up to 3 years after each statement."
> - Mbiu Verified Card Fields:
> - headline: "No audit rights and 6 months challenge limit"
> - key_quote: "All statements shall be binding and incontestable unless objected to in writing within 6 months (six months), and the Artist shall have no right to conduct an independent audit"
> - what_it_says: "Statements are due within 90 days after June 30 and December 31, subject to Clause 7.2. They become final after 6 months, and you have no audit rights."
> - what_it_means: "Without audit rights, you could not check if the Company reported all your streaming and Skiza income, and after 6 months you may lose the right to question any errors."
> - comparison_note: "Standard KECOBO recording terms deliver statements within 60 days, allow 3 years to raise objections, and grant an annual right to audit the Company's books on 30 days notice."
> - jargon_definitions: {"audit rights": "Your right to have an independent accountant inspect the label's financial records to confirm your royalty statements are accurate."}
> - fairer_wording: "The Company shall render semi-annual royalty statements within 60 days after each June 30 and December 31, and the Artist shall have the right once per year upon 30 days written notice to audit the Company's books and records for up to 3 years after each statement."
> - ask_them: ["Can we add annual audit rights on 30 days notice and a 3 years window to question statements?"]

CLAUSE 7: REMEDIES AND ACCOUNTING SUSPENSION OVERRIDE

7.1 Waiver of Termination Rights. The Artist irrevocably waives any right to terminate or rescind this Agreement for any breach by the Company; the Artist's sole remedy shall be an action for damages in the courts of Kenya.

7.2 Suspension of Statements and Royalties While Unrecouped (Override). Notwithstanding Clause 4.1 or Clause 6.1, the Company shall have no obligation to render any semi-annual royalty statement or pay any royalties (including mechanical royalties under Clause 5.1) during any accounting period in which any portion of the Recording Budget, video costs, or marketing advances remains unrecouped.

> [EXPERT LEGAL & MBIU SYSTEM ANNOTATION · CLAUSE 7.1]
> - Clause ID: 7.1 | Topic: termination | Affects: time
> - Drafted For: label | Comparison Outcome: worse_for_you | Mbiu Label: worth_asking_about | Implication: major
> - Reference Standard Benchmark (KECOBO-REC-STD-01): "The Artist may terminate this Agreement upon 30 days written notice if the Company commits a material breach, including failure to account or pay royalties when due, and fails to cure such breach within the 30 days notice period."
> - Mbiu Verified Card Fields:
> - headline: "You waive your right to end the contract"
> - key_quote: "The Artist irrevocably waives any right to terminate or rescind this Agreement for any breach by the Company"
> - what_it_says: "You give up your right to end this contract even if the Company breaks its promises. Your only option is to sue for money in court."
> - what_it_means: "Even if the Company stops paying you or fails to release your music, you could remain locked into the exclusive contract and forced to file a costly lawsuit."
> - comparison_note: "Standard KECOBO agreements allow the artist to terminate upon 30 days written notice if the company fails to cure a material breach or non-payment."
> - fairer_wording: "The Artist may terminate this Agreement upon 30 days written notice if the Company commits a material breach, including failure to account or pay royalties when due, and fails to cure such breach within the 30 days notice period."
> - ask_them: ["Can we replace Clause 7.1 with a mutual right to end the deal on 30 days notice if a breach is not cured?"]

> [EXPERT LEGAL & MBIU SYSTEM ANNOTATION · CLAUSE 7.2]
> - Clause ID: 7.2 | Topic: accounting_audit | Affects: money
> - Drafted For: label | Comparison Outcome: worse_for_you | Mbiu Label: worth_asking_about | Implication: major
> - Linked Clauses: ["4.1", "5.1", "6.1"] (override: "Notwithstanding Clause 4.1 or Clause 6.1")

> - Reference Standard Benchmark (KECOBO-REC-STD-01 & WIPO-REC-STD-02): "The Company shall render detailed semi-annual royalty statements to the Artist for every accounting period regardless of whether the Artist's advance account is recouped or unrecouped, and mechanical songwriting royalties shall be paid currently without recoupment offset."
> - Mbiu Verified Card Fields:
> - headline: "No statements or mechanicals while unrecouped"
> - key_quote: "Notwithstanding Clause 4.1 or Clause 6.1, the Company shall have no obligation to render any semi-annual royalty statement or pay any royalties"
> - what_it_says: "This overrides Clauses 4.1 and 6.1. The Company does not have to send you statements or pay mechanical royalties while any studio or ad cost is unrecouped."
> - what_it_means: "You could be kept in the dark with zero statements showing how much your music earns and how much recoupment remains, while also losing your mechanical royalties."
> - comparison_note: "Standard KECOBO and WIPO templates require semi-annual statements in every period·even while unrecouped·and require mechanical royalties to be paid without recoupment offset."
> - jargon_definitions: {"recoupable": "Expenses paid by the label that are recovered from your royalty share before royalties are paid out to you.", "recoupment": "The process of recovering upfront studio and marketing costs from your royalty share.", "mechanical royalties": "Royalties paid to the songwriter whenever a composition is reproduced on streams, downloads, or physical copies."}
> - fairer_wording: "The Company shall render detailed semi-annual royalty statements to the Artist for every accounting period regardless of whether the Artist's advance account is recouped or unrecouped, and mechanical songwriting royalties shall be paid currently without recoupment offset."
> - ask_them: ["Can we delete Clause 7.2 so I get statements every period and mechanical royalties are always paid?"]

WHOLE-CONTRACT MAP & REVERSE-CHECK ANNOTATIONS (SYSTEM CONTEXT)

1. Contract-Wide Issues (contract_map.issues)

- Issue 1 (override · Clauses 6.1 & 7.2):

- Explanation: Clause 6.1 promises semi-annual royalty statements within 90 days after June 30 and December 31, but Clause 7.2 ("Notwithstanding Clause 4.1 or Clause 6.1...") cancels the obligation to send statements or pay mechanical royalties whenever any recording, video, or marketing cost remains unrecouped.

- Quotes:

1. "Subject to the provisions of Clause 7.2, the Company shall prepare semi-annual royalty statements within 90 days (ninety days) after 30th June and 31st December"

2. "Notwithstanding Clause 4.1 or Clause 6.1, the Company shall have no obligation to render any semi-annual royalty statement or pay any royalties"

2. Missing Protections (missing_from_contract)

- written_approval_deductions (No written approval required for deductions):

- Why flagged: Clause 3.1 makes 100% of video, radio promotion, digital ad-spend, and tour support recoupable from the Artist's royalties without requiring the Artist's prior written consent on budgets or expenditure caps.

- rights_reversion (No rights reversion clause found):

- Why flagged: Clause 2.1 assigns all Masters in perpetuity and explicitly denies reversion.

SIGNATURES

SIGNED for NYOTA RECORDS & ENTERTAINMENT EAST AFRICA LTD: _____ | Date: 3rd December, 2026

SIGNED by the ARTIST (AMINA WANJIRU p/k/a "Mina W."): _____ | Date: 3rd December, 2026